

report to you, all of the charts would have had lines marching skyward,”⁴⁴ but such growth was clearly no great managerial achievement if you could “get the same result personally while operating from your rocking chair.”⁴⁵

[J]ust quadruple the capital you commit to a savings account and you will quadruple your earnings. You would hardly expect hosannas for that particular accomplishment. Yet, retirement announcements regularly sing the praises of CEOs who have, say, quadrupled earnings of their widget company during their reign—with no one examining whether this gain was attributable simply to many years of retained earnings and the workings of compound interest. If the widget company consistently earned a superior return on capital throughout the period, or if capital employed only doubled during the CEO’s reign, the praise for him may be well deserved. But if return on capital was lackluster and capital employed increased in pace with earnings, applause should be withheld.

In Buffett’s definition, first-class managements would understand the economics of their businesses and manage the denominator—the invested capital—to maximize the return on it, and, therefore, the intrinsic value. Buffett recognized, however, that there were limits to what management could achieve:⁴⁶

Good jockeys will do well on good horses, but not on broken-down nags.

...

The same managers employed in a business with good economic characteristics would have achieved fine records. But they were never going to make any progress while running in quicksand.

I’ve said many times that when a management with a reputation for brilliance tackles a business with a reputation for bad economics, it is the reputation of the business that remains intact.

We can now see the contours of Buffett’s *wonderful company* in its entirety. A wonderful company owns a first-class business and is led by a first-class management. A first-class business earns sustainable high returns on invested capital because of its good economics and resistance to competition. The franchise is a special case with unusual economics that allow it to naturally resist competition and earn super-normal returns on capital. First-class managers will maintain and increase high returns on capital by regulating the amount of capital invested in the business and continually